

**SUBSTITUTE FOR
HOUSE BILL NO. 5236**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
by amending section 508 (MCL 206.508), as amended by 2018 PA 588.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 508. (1) "Gross rent" means the total rent contracted to
2 be paid by the renter or lessee of a homestead pursuant to dealing
3 at arms' length with the landlord of the homestead. ~~When~~**If** the
4 landlord and tenant have not dealt with each other at arms' length
5 and the department believes that the gross rent charged is
6 excessive, the department may adjust the gross rent to a reasonable
7 amount for the purposes of this chapter.

8 (2) "Homestead" means a dwelling or unit in a multiple-unit
9 dwelling that is subject to ad valorem taxes, or a service charge



1 in lieu of taxes as provided by section 15a of the state housing
 2 development authority act of 1966, 1966 PA 346, MCL 125.1415a,
 3 owned and occupied as a home by the owner of the dwelling or unit,
 4 or occupied as the dwelling of the renter or lessee, including all
 5 unoccupied real property not classified for ad valorem tax purposes
 6 as commercial, industrial, ~~residential~~, or timber-cut over, owned
 7 by the owner of the homestead. ~~Beginning in the 1990 tax year, a~~ **A**
 8 homestead does not include unoccupied real property that is leased
 9 or rented by the owner to another person and that is not adjacent
 10 and contiguous to the home of the owner. Additionally, **all of** the
 11 following apply:

12 (a) If a homestead is an integral part of a larger unit of
 13 assessment such as commercial, industrial, residential, timber-cut
 14 over, or a multipurpose or multidwelling building, the tax on the
 15 homestead ~~shall be~~ **is** the same proportion of the total property tax
 16 as the proportion of the value of the homestead is to the total
 17 value of the assessed property.

18 (b) If the gross receipts of the agricultural or horticultural
 19 operations do not exceed the household income, or if there are no
 20 gross receipts, the following apply:

21 (i) If the claimant has lived on the land 10 years or more, all
 22 of the adjacent and contiguous agricultural or horticultural lands
 23 ~~shall be~~ **is** considered a homestead and the credit is allowed for
 24 all the land.

25 (ii) If the claimant has lived on the land less than 10 years,
 26 not more than 5 acres of adjacent and contiguous agricultural or
 27 horticultural land ~~shall be~~ **is** considered a part of the homestead
 28 and the credit is allowed for that part of the land.

29 (c) A mobile home or trailer coach in a trailer coach park is



1 a homestead and the site rent for space is ~~considered~~ the rent of a
2 homestead. The specific tax levied by section 41 of 1959 PA 243,
3 MCL 125.1041, is ~~considered~~ a property tax.

4 (3) "Household" means a claimant and spouse.

5 (4) "Total household resources" means all income received by
6 all persons of a household in a tax year while members of a
7 household, excluding ~~for tax years beginning after December 31,~~
8 ~~2018~~ any compensation received ~~pursuant to~~ **under** the wrongful
9 imprisonment compensation act, 2016 PA 343, MCL 691.1751 to
10 691.1757, and increased by the following deductions from federal
11 gross income:

12 (a) Any net business loss after netting all business income
13 and loss.

14 (b) Any net rental or royalty loss.

15 (c) Any carryback or carryforward of a net operating loss as
16 ~~defined~~ **described** in section 172(b)(2) of the internal revenue
17 code.